

TELCO CUSTOMER CHURN – BUSINESS UNDERSTANDING REPORT

AnalystLab Africa Data Analytics Internship Programme

Week 1: Business Analytics Case Study

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Dataset: Telco Customer Churn Dataset

Introduction

Customer churn refers to the rate at which customers stop using a company's products or services. In the telecommunications industry, customer churn is an important business concern because losing customers can affect revenue, customer retention and long-term business growth. Analysing customer churn helps businesses understand which customers are leaving, identify patterns among customers who churn, and investigate the factors that may be associated with their decision to leave.

This analysis focuses on the Telco Customer Churn Dataset to understand customer characteristics and identify patterns associated with customer churn. The findings will help provide insights that can support better customer retention strategies.

Business Problem

ABC Communications Ltd is experiencing customer churn and needs to better understand its customer base and the factors associated with customers leaving the company. Without a clear understanding of which customer segments have higher churn and the factors associated with their decisions to leave, the company may experience continued customer loss and reduced revenue.

The analysis therefore focuses on examining customer demographics, contract types, tenure, services and payment methods to identify patterns in customer churn and retention.

Business Objectives

The objectives of this analysis are to:

- Understand the characteristics of the customer base.
- Identify customer segments with higher levels of churn.
- Examine whether contract type influences customer retention.

- Determine whether customer tenure is associated with loyalty.
- Identify services associated with higher customer churn.
- Identify payment methods associated with higher churn.
- Provide actionable recommendations that can help improve customer retention.

Key Business Questions

The analysis seeks to answer the following business questions:

- What does the customer base look like?
- Which segments have the highest churn?
- Does contract type influence retention?
- Does tenure affect loyalty?
- Which services influence churn?
- Which payment methods have higher churn?
- What actions should management take?

Business Value / Expected Outcomes

The analysis is expected to provide ABC Communications Ltd with a better understanding of its customers and the factors associated with customer churn. The insights can help management identify high-risk customer segments and develop more targeted retention strategies.

The findings can also support decisions around contract offerings, customer services, payment options and customer engagement. Ultimately, the analysis aims to help the company reduce customer churn, strengthen customer loyalty and improve revenue stability.

Scope of the Analysis

This analysis focuses on customer information contained in the Telco Customer Churn Dataset, including customer demographics, contract type, tenure, internet and other services, payment methods, monthly charges, total charges and churn status. The analysis uses data visualization and business analysis techniques to identify patterns and generate actionable business insights.